

26PSCV00512 26PSCV00512

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Case Number: 26PSCV00512 Hearing Date: July 9, 2026 Dept: H

Zhang v. Meng, et

al., Case No. 26PSCV00512

ORDER ON MOTION

TO STRIKE AND DEMURRER

1.

Defendant Jones

Ontario Acquisition, LLC dba Mercedes-Benz of Ontario's Motion to Strike Portions of Plaintiff's First Amended Complaint is DENIED.

2. Defendants Jones Ontario Acquisition, LLC

dba Mercedes-Benz of Ontario and Louis Meng's Demurrer to Plaintiff's First Amended Complaint is SUSTAINED in part with 20 days' leave to amend (i.e., as to the second and fifth causes of action), SUSTAINED in part without leave to amend (i.e., as to the eighth cause of action), and is otherwise overruled.

Background

Plaintiff

Xian Zhang ("Plaintiff") alleges as follows:

Plaintiff

previously leased a Mercedes vehicle through Louis Meng ("Meng"), a salesperson at a Mercedes dealership. Plaintiff returned the prior leased vehicle on or about September 2023. Meng then solicited Plaintiff to lease a 2024 Mercedes Benz GLS450W4 ("subject vehicle"), using Plaintiff's credentials for Yongfei

Enterprise Group Cp. ("Yongfei Enterprise"), an import/export company. Meng represented to Plaintiff that Yongfei Enterprise would buy out the subject vehicle within two to three months for export to China, that Plaintiff would be paid \$2,500.00 and that this scheme had been reliably used for hundreds of vehicles. On September 4, 2023, Plaintiff leased the subject vehicle; Meng provided \$13,000.00 in cash for the down payment on the lease and took possession of the subject vehicle and keys on that date. On September 28, 2023, an agent picked up the title from Plaintiff and on October 3, 2023, Yongfei Enterprise's agent, "Monica," set up the online leading account using Plaintiff's information, but linking Yongfei Enterprise's bank account. Yongfei Enterprise failed to buy out the subject vehicle after three months. Meng and "Monica" repeatedly told Plaintiff that they were "working on it" regarding the buyout. Around March 2024, Plaintiff met with Yongfei Enterprise's owner, Haiyong Geng ("Geng"), who told her that Wei Lin ("Lin") had embezzled funds needed for the buyout. In January 2026, Yongfei Enterprise stopped making lease payments. When Plaintiff asked about the subject vehicle, "Monica" advised that it was stored at China United Transport, Inc.'s ("CU Transport") warehouse. CU Transport has refused to return the subject vehicle to Plaintiff, despite her showing proof of ownership, claiming it had been mortgaged as collateral. Plaintiff was never paid the promised \$2,500.00.

On

May 20, 2026, Plaintiff filed a First Amended Complaint ("FAC"), asserting causes of action against Meng, Geng, Lin, Yongfei Enterprise, CU Transport, Jones Ontario Acquisition, LLC dba Mercedes-Benz of Ontario (erroneously sued as Fletcher Jones Automotive Group dba Mercedes-Benz of Ontario) ("MBO") and Does 1-25 for: (1) Fraud (Intentional Misrepresentation), (2) Conversion, (3) Breach of Contract, (4) Negligent Misrepresentation, (5) Fraudulent Concealment, (6) Violation of California Unfair Competition Law, (7) Replevin (Claim and Delivery), and (8) Vicarious Liability.

A

Case Management Conference and an Order to Show Cause Re: Failure to File Proof of Service as to Geng, Lin, and Yongfei Enterprise are set for July 9, 2026.

Request for Judicial Notice

MBO

requests judicial notice of the parties' lease agreement. The request is denied. A contract between private parties is not properly the subject of

judicial notice.

1.

Motion to Strike Portions of FAC

Legal

Standard

Pursuant to Code of Civil

Procedure section 436, “the court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” The grounds for a motion to strike must “appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 437.)

Discussion

MBO

moves to strike Plaintiff's first, second, fourth, and fifth causes of action in their entirety, because Plaintiff has added MBO to these causes of action for the first time as a defendant in her first amended complaint with obtaining leave of Court.

In

opposition, Plaintiff contends she may amend her complaint in this manner because her amendment “directly responds to the court's ruling on the demurrer.” (Opp., 2:7-8.)

Specifically,

Plaintiff contends she intended for her causes of action against MBO to be included under the template of “vicarious liability” in her initial complaint, but the Court's ruling that vicarious liability may not be pled as a separate cause of action required Plaintiff to distribute MBO as a defendant throughout all causes of action.

The

Court agrees that Plaintiff's addition of MBO to individual causes of action

responds to the Court's prior ruling sustaining MBO's demurrer to Plaintiff's claim for "vicarious liability."

The

motion to strike is denied. However, due to MBO's good-faith confusion regarding the scope of leave to amend, the Court does not regard MBO to have forfeited any challenge to causes of action asserted against it for the first time in Plaintiff's FAC.

2. Demurrer to FAC

Legal Standard

A demurrer may be made on the grounds that, inter alia, the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

"A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905 [citations omitted].) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) "[A] demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction placed on an instrument pleaded therein, or facts impossible in law, or allegations contrary to facts of which a court may take judicial knowledge." (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732 [citations omitted].)

Discussion

Illegal

or Fraudulent Transaction; Parties In Pari Delicto

The

Court previously overruled MBO's demurrer to the whole complaint on the basis of the parties' purportedly illegal contract. (See 04-30-2026 Order, p. 2.) MBO acknowledges that "[t]he factual basis of plaintiff's case ... are identical in

her Complaint and in the FAC.” (Dem., 12:5-6.) On illegality, the Court’s prior ruling stands.

MBO’s

arguments relying on the doctrine of *in pari delicto* rely on the same fundamental premise: that the FAC discloses on its face that the parties were engaged in conduct that was illegal, fraudulent, or inequitable. (Id., 9:1-10:10.) As with MBO’s illegality argument, the Court does not find this defense sufficiently established on the face of the FAC, which substantially reiterates the initial complaint.

The

demurrer to the whole complaint based on illegality or the doctrine of *in pari delicto* is overruled.

Second

Cause of Action for Conversion

MBO

contends Plaintiff has not stated a claim for conversion because she alleges she voluntarily relinquished possession of the Vehicle to MBO’s co-defendants. (Dem., 10:17-22.) The Court agrees.

“ ‘To

constitute conversion, nonconsent to the possession and disposition of the property by defendant is indispensable. If the owner expressly or impliedly assents to or ratifies the taking, use, or disposition of his property, he cannot recover as for a conversion thereof[.]’ [Citations.]” (French v. Smith Booth Usher Co. (1942) 56 Cal.App.2d 23, 27-28.)

The FAC

appears to describe a circumstance where Plaintiff never expected or received possession of the vehicle. Her allegation that she did not give permission for Meng to permanently retain or transfer possession of the vehicle (FAC, ¶¶ 77-78) is contradicted by allegations elsewhere in the FAC (id., ¶¶ 15, 18, 21-22). If Plaintiff relies on money she paid toward the lease, her claim is unclear in this regard: she refers to lease payments in January and February 2026, but only in the context of “potential liability”, and as an afterthought to possession of the Vehicle itself. (See FAC, ¶ 67.)

Plaintiff's

claim for conversion is, at best, uncertain, because it is not clear what property precisely she contends was converted. (See FAC, ¶¶ 76-85.) If she relies on the vehicle, it appears she voluntarily relinquished possession. If she relies on money paid, it is unclear from her FAC (and it appears she voluntarily relinquished the lease payments as well).

The

demurrer to the second cause of action is sustained with 20 days' leave to amend.

Fifth

Cause of Action for Fraudulent Concealment

"In

California, fraud must be pled specifically; general and conclusory allegations do not suffice. Thus, the policy of liberal construction of the pleadings . . . will not ordinarily be invoked to sustain a pleading defective in any material respect. This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645 [cleaned up].)

Plaintiff

does not state a claim for fraudulent concealment. She alleges affirmative misrepresentations, not concealment. (FAC, ¶¶ 125-127.) She alleges "Defendants failed to disclose that they had used or intended to use the Vehicle as collateral for loans." (Id., ¶ 128.) But she does not allege sufficient facts to show who failed to disclose that particular fact, or how, or when, or why that particular fact induced her reliance.

That

said, the Court disagrees that Plaintiff fails to allege a basis for a duty to disclose; a transactional relationship is sufficient for fraudulent concealment, as is partial disclosure while other facts are withheld. (See Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 314.)

The

demurrer to the fifth cause of action is sustained, based on Plaintiff's failure to plead facts with sufficient particularity, with 20 days' leave to amend.

Eighth

Cause of Action for Vicarious Liability

As

noted in the Court's prior ruling, vicarious liability is not a cause of action.

The

demurrer to the eighth cause of action is sustained, without leave to amend.